



Rating
Buy

North America
United States

Consumer
Consumer Staples

Company
**The Coca-Cola
Company**

Reuters
KO.N

Bloomberg
KO US

Exchange
NYS

Ticker
KO

Date
11 February 2025

Results

Price at 10 Feb 2025 (USD)	64.55
Price target	70.00
52-week range	73.01 - 58.06

Quick Take - KO's 4Q24 results

How do we expect the market to react?

Overall, we expect a favorable reaction from investors. KO reported a strong quarter (4Q24 EPS of \$0.55 vs. DBE: \$0.51/Street: \$0.52, with organic sales growth of +14% vs. DBE: +8.2%/Street: +7.2%), and issued assertive FY25 guidance:

- Organic growth of +5% to +6% (vs. DBE: +5.5%/Street: +7.1%)
- Implied EPS of \$2.94-\$2.97 vs. DBE: \$2.92/Street: \$2.95, inclusive of a -6% to -7% FX headwind and higher YOY tax rate (20.8% vs. DBE 19%).
- FCF adjusted for the fairlife contingent consideration payment of \$9.5 billion, with cash flow from operations of \$11.7 billion and capex of ~\$2.2 billion. Although this implies a slightly lower conversion than KO's long-term run-rate, we see it as a solid result considering FY24 FCF over-delivery (\$10.8 billion, likely aided in part by favorable working capital timing between FY24/25), a final year of transition tax payment headwinds in FY25, and ongoing growth capex (e.g., fairlife/India).

We expect most questions on today's 8:30am conference call to focus on KO's FY25 momentum/visibility, the composition of expected growth in the year ahead, and management's plans/positioning to offset FX and other macro volatility.

How do reported results compare with expectations?

KO reported 4Q24 EPS of \$0.55 vs. DBE: \$0.51/Street: \$0.52. Organic sales grew +14% (DBE: +8.2%/Street: +7.2%), reflecting +5% concentrate sales volume (DBE: +1.0%) and +9% price/mix (DBE: +7.3%); unit case shipments were +2% (DBE: +0.5%). Gross margin of 59.4% (DBE: 58.8%/Street: 58.5%) was up ~+160 bps YOY. Overall operating income of \$2.734 billion was +6.9% ahead of DBE and +6.6% above the Street. Consolidated operating margins were 24.0% (DBE: 23.6%/Street: 24.0%).

By region, the organic revenue in North America was +15% (DBE: +10.7%/Street: +7.4%); EMEA was +17% (DBE: +6.2%/Street: +5.5%); Asia Pacific was +1% (DBE: +4.7%/Street: +1.9%); Latin America was +25% (DBE: +14.2%/Street: +7.4%); Global Ventures was +3% (DBE: +1.0%/Street: +1.1%); and Bottling was +7% (DBE: +5.5%/Street: +4.6%). Segment operating margins were North America at 24.6% (DBE/Street: 23.3%); EMEA at 44.7% (DBE/Street: 48.3%); Asia Pacific at 27.7% (DBE: 31.1%/Street: 30.0%); Latin America at 61.7% (DBE: 56.5%/Street: 51.3%);

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Global Ventures at 15.4% (DBe: 14.8%/Street: 13.8%); and Bottling at 13.0% (DBe: 8.5%/Street: 11.5%).

How has the company's outlook changed?

KO provided FY25 guidance as described below:

- Organic growth of +5% to +6% (vs. DBe: +5.5%/Street: +7.1%), a -3% to -4% currency headwind (vs. -LSD% prior, and DBe: -3.3%) based on the current rates which includes the impact of hedged positions, and a slight M&A headwind (unchanged; DBe: -0.2%). This implies comparable revenue of \$47.131-\$48.069 billion vs. DBe: \$47.269 billion/Street: \$47.530 billion.
- Comparable EPS growth of +2% to +3%, which implies \$2.94-\$2.97 vs. DBe: \$2.92/Street: \$2.95. EPS guidance includes a -6% to -7% (-MSD% prior) FX headwind and a slight M&A headwind.
- Effective tax rate of 20.8%. This does not include the impact of ongoing tax litigation with the U.S. Internal Revenue Service, if the company were not to prevail.
- FCF of \$9.5 billion (DBe: \$8.812 billion/Street: \$9.536 billion) with cash flow from operations of \$11.7 billion (DBe: \$11.176 billion/Street: \$11.435 billion) and capex of ~\$2.2 billion (DBe: \$2.363 billion/Street: \$2.114 billion). Guidance for cash from operations and FCF excludes the fairlife contingent consideration payment.

1Q25 considerations:

- -3% to -4% currency headwind based on the current rates which includes the impact of hedged positions, and a -2% to -3% M&A headwind
- EPS growth is expected to include a -5% to -6% (-MSD% prior) FX headwind and a -2% to -3% M&A headwind

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Figure 1: KO 4Q24 Highlights

INCOME STATEMENT

	4Q24	4Q23	chg.	DB Est.	Delta	Street	Delta
Organic growth	14.0%	12.0%	200 bps	8.2%	579 bps	7.2%	676 bps
Comparable Revenue	\$11,404	\$10,948	4.2%	\$10,824	5.4%	\$10,672	6.9%
Cost of Goods Sold	4,626	4,617	0.2%	4,456	3.8%	4,434	4.3%
Gross Profit	6,778	6,331	7.1%	6,368	6.4%	6,238	8.7%
SG&A	4,044	3,788	6.8%	3,809	6.2%	3,674	10.1%
Operating Income	2,734	2,543	7.5%	2,559	6.9%	2,564	6.6%
Net Interest Expense	234	152	53.9%	155	50.5%	131	79.2%
Equity (income) loss	(385)	(388)	(0.8%)	(354)	8.6%	(344)	11.9%
Other (income) loss	(31)	119	(126.1%)	5	(720.0%)	7	(545.6%)
Pretax Income	2,916	2,660	9.6%	2,752	5.9%	2,770	5.3%
Taxes	517	506	2.2%	523	(1.1%)	526	(1.8%)
Noncontrolling Interest	18	13	38.5%	14	31.9%	7	157.1%
Net Income (Comparable)	2,381	2,141	11.2%	2,216	7.5%	2,237	6.4%
Diluted EPS - Comparable	\$0.55	\$0.49	11.5%	\$0.51	7.6%	\$0.52	6.5%
Diluted Shares Outstanding	4,317	4,330	(0.3%)	4,322	(0.1%)		

MARGIN ANALYSIS

	4Q24	4Q23	chg.	DB Est.	Delta	Street	Delta
Gross Margin	59.4%	57.8%	161 bps	58.8%	61 bps	58.5%	98 bps
SG&A Ratio	35.5%	34.6%	86 bps	35.2%	27 bps	34.4%	103 bps
Operating Margin	24.0%	23.2%	75 bps	23.6%	34 bps	24.0%	-5 bps
Pretax Margin	25.6%	24.3%	127 bps	25.4%	14 bps	26.0%	-39 bps
Tax Rate	17.7%	19.0%	-129 bps	19.0%	-127 bps	19.0%	-127 bps
Net Margin	20.9%	19.6%	132 bps	20.5%	41 bps	21.0%	-8 bps

COMPARABLE REVENUE BY SEGMENT

EMEA	1,761	1,724	2.1%	1,692	4.1%	1,614	9.1%
Latin America	1,617	1,511	7.0%	1,453	11.3%	1,558	3.8%
North America	4,665	4,043	15.4%	4,474	4.3%	4,337	7.6%
Asia Pacific	1,146	1,158	(1.0%)	1,142	0.3%	1,196	(4.2%)
Global Ventures	850	813	4.6%	821	3.5%	822	3.5%
Bottling	1,551	2,013	(23.0%)	1,459	6.3%	1,607	(3.5%)
Corporate	22	31	(29.0%)	31	(28.2%)	30	(26.7%)
Eliminations	(208)	(345)	(39.7%)	(248)	(16.2%)	(491)	(57.6%)
Total Comparable Revenue	11,404	10,948	4.2%	10,824	5.4%	10,672	6.9%

OPERATING PROFIT BY SEGMENT

EMEA	788	832	(5.3%)	817	(3.5%)	780	1.1%
Latin America	998	816	22.3%	821	21.6%	799	24.9%
North America	1,147	914	25.5%	1,040	10.2%	1,012	13.4%
Asia Pacific	318	356	(10.7%)	355	(10.5%)	359	(1.4%)
Global Ventures	131	119	10.1%	121	7.9%	114	15.3%
Bottling	202	201	0.5%	124	63.1%	184	9.6%
Corporate / Eliminations	(850)	(706)	20.4%	(720)	18.1%	(684)	24.3%
Total Operating Profit	2,734	2,532	8.0%	2,559	6.9%	2,564	6.6%

SEGMENT OPERATING MARGIN

EMEA	44.7%	48.3%	(351 bps)	48.3%	(351 bps)	48.3%	(355 bps)
Latin America	61.7%	54.0%	772 bps	56.5%	522 bps	51.3%	1041 bps
North America	24.6%	22.6%	198 bps	23.3%	133 bps	23.3%	126 bps
Asia Pacific	27.7%	30.7%	(299 bps)	31.1%	(334 bps)	30.0%	(225 bps)
Global Ventures	15.4%	14.6%	77 bps	14.8%	62 bps	13.8%	158 bps
Bottling	13.0%	10.0%	304 bps	8.5%	454 bps	11.5%	155 bps
Total	24.0%	23.1%	85 bps	23.6%	34 bps	24.0%	(5 bps)

SALES DERIVATION (Actual)

	Volume	Price/Mix	Organic	M&A/Other	FX	Sales
EMEA	6.0%	11.0%	17.0%	0.0%	(11.0%)	2.1%
Latin America	3.0%	23.0%	25.0%	0.0%	(15.0%)	7.0%
North America	4.0%	12.0%	15.0%	0.0%	0.0%	15.4%
Asia Pacific	6.0%	(5.0%)	1.0%	0.0%	8.0%	(1.0%)
Global Ventures	10.0%	(7.0%)	3.0%	0.0%	2.0%	4.6%
Bottling	4.0%	2.0%	7.0%	(30.0%)	0.0%	(23.0%)
Total	5.0%	9.0%	14.0%	(5.0%)	(3.0%)	4.2%

Note: Volume from Concentrate Sales. M&A/Other includes acquisitions/divestitures/structural items/accounting changes. Organic growth is not selling-day adjuster

SALES DERIVATION (DBe)

	Volume	Price/Mix	Organic	M&A/Other	FX	Sales
EMEA	2.2%	4.0%	6.2%	0.0%	(8.0%)	(1.8%)
Latin America	(0.8%)	15.0%	14.2%	0.0%	(18.0%)	(3.8%)
North America	3.2%	7.5%	10.7%	0.0%	0.0%	10.7%
Asia Pacific	0.2%	4.5%	4.7%	0.0%	(6.0%)	(1.3%)
Global Ventures	1.0%	0.0%	1.0%	0.0%	0.0%	1.0%
Bottling	2.0%	3.5%	5.5%	(32.0%)	(1.0%)	(27.5%)
Total	1.0%	7.3%	8.2%	(4.9%)	(4.4%)	(1.1%)

Source : Bloomberg Finance LP, Company filings, Deutsche Bank estimates and analysis



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
The Coca-Cola Company	KO.N	64.55 (USD) 10 Feb 2025	1, 2, 7, 14, 15, 24, 26

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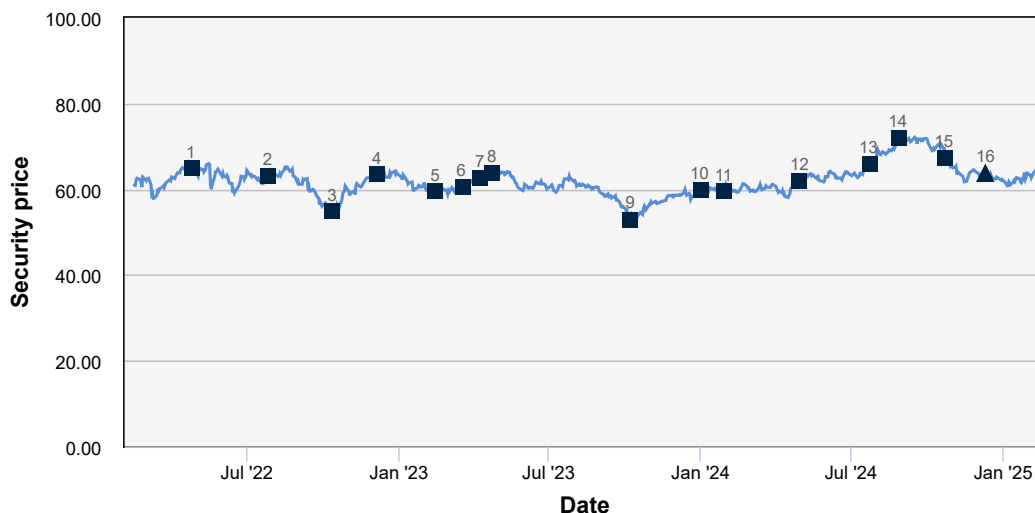
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Consumer Staples
The Coca-Cola Company



Historical recommendations and target price: The Coca-Cola Company (KO.N)

(as of 02/10/2025)



Current Recommendations

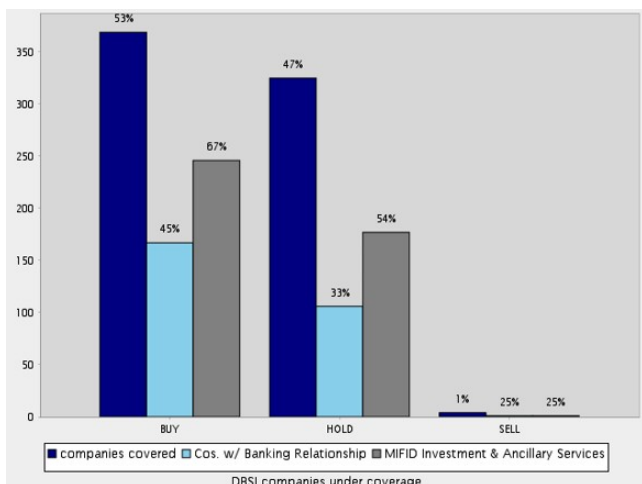
Buy
Hold
Sell
Not Rated
Suspended Rating

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1.	04/26/2022	Hold, Target Price Change USD 64.00, Current Price USD 65.05 Stephen Powers	9.	10/09/2023	Hold, Target Price Change USD 60.00, Current Price USD 52.88 Stephen Powers
2.	07/27/2022	Hold, Target Price Change USD 65.00, Current Price USD 63.01 Stephen Powers	10.	01/02/2024	Hold, Target Price Change USD 62.00, Current Price USD 59.82 Stephen Powers
3.	10/14/2022	Hold, Target Price Change USD 59.00, Current Price USD 54.98 Stephen Powers	11.	01/31/2024	Hold, Target Price Change USD 63.00, Current Price USD 59.49 Stephen Powers
4.	12/06/2022	Hold, Target Price Change USD 62.00, Current Price USD 63.44 Stephen Powers	12.	05/01/2024	Hold, Target Price Change USD 64.00, Current Price USD 61.93 Stephen Powers
5.	02/15/2023	Hold, Target Price Change USD 63.00, Current Price USD 59.59 Stephen Powers	13.	07/24/2024	Hold, Target Price Change USD 65.00, Current Price USD 65.81 Stephen Powers
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8.	04/25/2023	Hold, Target Price Change USD 63.00, Current Price USD 63.85 Stephen Powers	16.	12/12/2024	Upgraded to Buy, Target Price Change USD 70.00, Current Price USD 63.84 Stephen Powers



Equity rating dispersion and banking relationships



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